

The Override Signal — Gold Example

Three worked signals, one per archetype · hand out after the debrief

The one idea to leave with: “in the loop” is not “the loop runs.” A signal is oversight only when it is surfaced, owned, and actionable in time — and when it watches the **human** (over-trust, drift, deskilling), not only the model. Knight failed every one of the five criteria; 97 emails is what oversight looks like when it meets none of them.

Knight, scored against the five criteria

CRITERION	KNIGHT'S 97 EMAILS
Observable	Generated — but buried in routine email, not surfaced.
Actionable	No threshold, no defined response.
Owned	No named owner with authority to halt trading.
Timely	Fired pre-market; the irreversible orders ran anyway.
Fatigue-resistant	97 non-prioritized messages — textbook alert fatigue.

Three signals that would work

MemoWriter (Pod 02)

Override Rate

Signal: Share of drafted risk ratings the underwriter changes before approval.

Threshold: Alarm if the override rate falls below ~5% (rubber-stamping) or drops sharply month-over-month.

Cadence: Weekly, per underwriter and desk-wide.

Owner + authority: Chief Credit Officer; authority to pull memos back to manual drafting.

Action: Audit a sample of low-override memos; re-test underwriters unaided.

Catches Knight?: Yes — it watches the human, not just the model, and surfaces silent over-trust before it compounds.

Compass (Pod 06)

Drift Cadence

Signal: Weekly distribution of recommended risk levels vs. an approved baseline.

Threshold: Alarm if mean recommended risk drifts beyond a set band over a rolling window.

Cadence: Weekly aggregate review (the trend no single note reveals).

Owner + authority: Head of Wealth + Compliance; authority to halt or recalibrate.

Action: Freeze new recommendations; recalibrate; spot-check advisor sign-off.

Catches Knight?: Yes — it looks at the aggregate on a schedule, so a slow, individually-defensible drift can't hide.

Second Line (Pod 05)

Deskilling Proxy

Signal: Validators' unaided catch rate on a seeded-flaw model, with vs. without the copilot.

Threshold: Alarm if unaided catch rate declines over successive cycles.

Cadence: Quarterly seeded test.

Owner + authority: Head of MRM; authority to require independent re-validation.

Action: Retrain validators; reduce copilot autonomy on high-tier models.

Catches Knight?: Yes — it keeps the human oversight real, so the reviewer can still interpret the signal when it fires.

ARCHETYPE FIT FOR THE OTHER PODS

- **ClearList (01):** confirmed-miss rate from a random audit of the auto-cleared pile (makes the invisible observable).
- **Navigator (03):** rate of high-privilege actions taken without a completed checkpoint (timeliness).
- **SettleNet (04):** count of postings from unvalidated vendor messages (owned by Treasury, authority to halt).

Illustrative for the exercise only. One signal is a starting point, not a monitoring program. Nothing here is legal or regulatory advice.